



Australian
Competition &
Consumer
Commission

18 February 2010

Statement of Issues — Cargill Australia Ltd - proposed acquisition of Goodman Fielder's commercial fats and oils business

1. Outlined below is the Statement of Issues released by the Australian Competition and Consumer Commission (**ACCC**) in relation to the proposed acquisition of Goodman Fielder Limited's (**Goodman Fielder**) commercial fats and oils business by Cargill Australia Ltd (**Cargill**) (**proposed acquisition**).
2. A Statement of Issues published by the ACCC is not a final decision about a proposed acquisition, but provides the ACCC's preliminary views, drawing attention to particular issues of varying degrees of competition concern, as well as identifying the lines of further inquiry that the ACCC wishes to undertake.
3. In line with the ACCC's *Merger Review Process Guidelines* (available on the ACCC's website at www.accc.gov.au) the ACCC has established a secondary timeline for further consideration of the issues arising in the ACCC's investigation of the proposed acquisition. The ACCC anticipates completing further market inquiries by 4 March 2010 and anticipates making a final decision by 18 March 2010. However, the anticipated timeline can change in line with the *Merger Review Process Guidelines*. To keep abreast of possible changes in relation to timing and to find relevant documents, market participants should visit the Mergers Register on the ACCC's website at www.accc.gov.au/mergersregister.
4. A Statement of Issues provides an opportunity for all interested parties (including customers, competitors, shareholders and other stakeholders) to ascertain and consider the primary issues identified by the ACCC. It is also intended to provide the merger parties and other interested parties with the basis for making further submissions should they consider it necessary.

Background

5. On 10 December 2009 Cargill announced that it proposed to acquire Goodman Fielder's commercial edible fats and oils business.

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6. Goodman Fielder is the largest refiner¹ of edible fats and oils in Australia. Goodman Fielder presently supplies a full range of refined edible fats and oils, including margarines and blends, bakery fats and liquid oils.
7. The edible fats and oils business to be acquired from Goodman Fielder includes four edible fats and oils refining assets located at West Footscray in Melbourne, Murarrie in Brisbane, Bunbury in Western Australia and East Tamaki in New Zealand, and other associated assets. In addition, the parties will enter into a long-term supply agreement under which Cargill will supply refined edible fats and oils products to Goodman Fielder.
8. Goodman Fielder will retain the title to the land at the Brisbane facility that is subject to an extended lease back to Cargill.
9. The proposed acquisition is subject to a number of conditions, including approval from the ACCC.

The parties

Cargill Australia Ltd

10. Cargill is an international producer and marketer of food, agricultural, financial and industrial products and services. Cargill has operations across these industries in 68 countries.
11. Cargill established operations in Australia in 1967, initially to serve the country's large grain export industry. It has since extended its involvement into several other agricultural and industrial areas. These areas include oilseed and meat processing, grain and oilseed storage and flour milling.
12. Cargill's involvement in the edible fats and oils industry in Australia includes:
 - a. the operation of three oilseed processing facilities, which are located at Newcastle (NSW), Narrabri (NSW) and Footscray (VIC), which Cargill deploys to crush a range of oilseeds (including canola, cotton, sunflower and soybean) to produce crude vegetable oils.
 - b. the operation of a refining facility in Newcastle, which produces a range of liquid oils (such as canola and sunflower) and shortenings.
13. Cargill is the largest supplier of crude vegetable oils and the third largest supplier of refined edible fats and oils in Australia. Cargill is a relatively recent entrant at the refining level of the industry, having established its refining facility in 2007.

Goodman Fielder's commercial fats and oils business

14. Goodman Fielder is one of Australasia's leading listed food companies and holds a portfolio of well known consumer brands (including Meadow Lea, Praise, White Wings and Pampas). It produces a variety of food products, including

¹ In this document all references to refining should be taken to include the processes of refining, bleaching and deodorising (RBD), unless otherwise stated

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bread, milk, margarine, flour, dressings, condiments, cake mix, pies, smallgoods, desserts and cooking oils.

15. Goodman Fielder is the largest refiner and supplier of edible fats and oils to Australian and New Zealand food manufacturers and wholesalers. It operates refining assets at four locations in Australia and New Zealand, which form part of the proposed acquisition. Goodman Fielder does not have any operations at the processing/crushing level of the industry, instead acquiring its crude vegetable oils from domestic and international suppliers. Post acquisition, Goodman Fielder will continue to acquire refined edible fats and oils for its own food manufacturing businesses.

Other industry participants

Peerless

16. Peerless Holdings is an Australian company incorporated in the early 1950s. The company began as a small business, recycling and rendering meat by-products. In the 1980s, Peerless diversified its operation and established an edible fats and oils refinery, which is located at Braybrook in Victoria.
17. Peerless is one of Australia's largest privately owned refiners and marketers of edible oils and fats, and margarines. It supplies a wide range of edible fats and oils products to a diverse range of customers.

Riverland Oilseeds

18. Riverland Oilseeds operates a group of regionally located plants that crush locally grown oilseeds to produce oil and feed meal products for domestic and international markets. Riverland Oilseeds plants are located in Numurkah in Northern Victoria, Millicent in South Australia and Pinjarra in Western Australia.
19. Riverland processes canola seeds to produce crude canola oil, which is sold to customers that include domestic edible fats and oils refiners. Riverland has recently expanded its Numurkah plant to include oil refining and bleaching capabilities, which produces oil products for intermediate or industrial applications (the plant is not fitted with deodorising equipment, which means that it is not able to fully refine crude oil into edible fats and oils products).

Manildra / Mac Smith Milling

20. Mac Smith Milling and Manildra jointly operate a vertically integrated processing and refining facility at Manildra in NSW. The integrated facility crushes and refines canola oil only.

Others

21. There are a number of other industry participants who process oilseeds and/or operate edible fats and oil refineries in Australia. These other market participants are primarily involved in the processing or refining of canola based products.

Generally, these other participants have smaller capacities when compared to the merged firm and represent only a small fraction of each of the relevant markets.

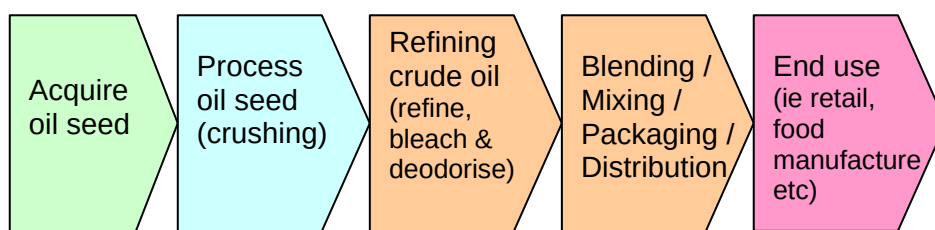
Market inquiries

22. On 10 December 2009 the ACCC commenced market inquiries regarding the proposed acquisition. A range of interested parties provided responses, including other suppliers of crude vegetable oils and/or refined fats and oils products; and customers (of both crude vegetable oils and refined edible fats and oils).

Industry Background

23. Edible fats and oils are lipid materials derived from plant or animal material, which are consumed directly or as ingredients in food and manufactured products. The diagram below sets out the supply chain in relation to the production of edible vegetable fats and oils.

Figure 1: Edible vegetable fats and oils production and supply chain



24. The raw materials used to make crude vegetable oil, such as canola, soybean, sunflower and cotton seeds, are sourced by oil processors from a large number of growers and traders within Australia and overseas.
25. Each year, Australian production of oilseed exhibits a high degree of variability depending on a range of factors (including the extent of drought conditions). Australian oilseed processors (sometimes also referred to as 'crushers') are able to supplement domestic supply of oilseed through imports. The importation of oilseed may occur in circumstances where there are shortfalls in Australian production or where the particular oilseed required is not grown domestically. For example, palm is not grown in Australia and other seeds, such as sunflower and soybean, are not typically grown in sufficient quantities to meet Australian demand.
26. Presently, Cargill is the largest oilseed processor in Australia. Cargill currently engages in the processing of a range of oilseeds, including canola, soybeans, sunflower and cotton seed. Cargill is the only significant processor of non-canola oilseeds in Australia.
27. In order to produce refined edible fats and oils, crude vegetable oil must go through the additional step of 'refining'. Refining is the phrase commonly used to describe the three distinct processes of refining, bleaching and deodorising crude

vegetable oil. Some edible fats and oils products, in particular bakery fats such as margarines and shortenings, must go through additional processing steps (an additional piece of equipment, called a perfector or votator, is ordinarily required to produce these products).

28. Refined edible fats and oils are supplied either in bulk or packaged form, depending on the requirements of the customer. For those products that are supplied as packaged fats and oils, the supplier will also require packaging facilities. Packaged fats and oils for use by participants in the food service industry and quick service restaurants are supplied in varying quantities, most commonly in 20 litre drums or boxed with a bladder lining. Packaged fats and oils are also supplied in smaller quantities for sale through retail channels. Products supplied to customers in bulk are delivered to the customer in specialised tankers (in the case of bulk shortening products, heated tankers are required). Prior to being packaged or loaded into tankers, the refined product is ordinarily stored by the refiner in large storage tanks (commonly referred to as a 'tank farm').
29. Some customers require specific blends of fats or oils (for example, a mixture of palm and canola oils). These blends are completed by the refiner at the packaging stage (in the case of packaged products) or blended into the tanker (in the case of bulk products).

Market definition

30. The ACCC's preliminary view is that the relevant markets for assessing the competitive effects of the proposed acquisition should be defined as follows:
 - a. national market for the supply of refined bulk edible fats and oils (referred to as **refined bulk oils**);
 - b. national market for the supply of refined packaged edible fats and oils (referred to as **refined packaged oils**);
 - c. national market for the supply of refined bulk edible bakery and yellow fats (referred to as **votated bulk products**);
 - d. national market for the supply of refined packaged bakery and yellow fats (referred to as **votated packaged products**);
 - e. national market for the supply of refined tallow;
 - f. national market for the supply of crude vegetable oils.
31. In forming its preliminary view on the product dimension of the relevant markets above, the ACCC considered which products were likely to be close substitutes for one another from both a supply and demand perspective. Market inquiries indicated that particular refined fats and oils products had characteristics that made them more suitable for certain uses. For example, some oils are more suitable for frying. Market inquiries indicated that from a demand perspective

there was minimal substitution between varieties of refined oils or votated products, especially for customers of bulk products.

32. From a supply perspective, market inquiries indicated that refiners of edible fats and oils could quite easily switch refining facilities to refine different varieties of oils. For example, a refiner of canola could easily switch to refining sunflower oil (provided they had access to the necessary inputs). However, inquiries to date indicate that suppliers of refined oils are unlikely to be able to easily switch their refining facilities to producing votated products. In particular, the ACCC noted the additional capital investment required to produce votated products. The ACCC considered that the additional plant and equipment required to produce votated products was sufficient to warrant defining votated products as a separate market. However further information is sought on this issue.
33. The ACCC considers that it is appropriate to define the supply of bulk and packaged products as separate markets. Inquiries to date indicate that there is limited supply side substitution between bulk and packaged products due to the additional specific investments necessary to supply each type of product. In particular, inquiries to date have indicated that suppliers of bulk product need to invest in, or gain access to, specialised tankers in which to transport the bulk refined oils or votated products to end consumers. Similarly, to supply packaged products refiners must make capital investment in packaging and storage facilities. Further, inquiries to date indicate that on the demand side, the ability of customers to substitute between bulk and packaged products is limited due to the manner in which the product is delivered and difference in quantities.
34. The ACCC has formed a preliminary view that refined tallow should be defined as a separate market from other edible fats and oils given limitations in demand and supply side substitutability. Refined tallow is made from animal fat. From a demand perspective, tallow has limited application (being used in restaurant foodservice and bakery products only). Market inquiries have also suggested that refiners can not switch to producing refined tallow as readily as other varieties of edible oils, primarily because of the need to ensure segregation of animal matter from other products.
35. The ACCC's preliminary view is that the refining markets outlined above are likely to be national in scope given that market inquiries indicate that there is frequent interstate movement of refined fats and oils and votated products. The ACCC notes however, that there appears to be minimal supply of refined products and votated products between the east and west cost of Australia and is considering whether the geographic scope of the relevant refining markets should be narrowed.
36. In relation to the supply of crude vegetable oils, there appears to be minimal difficulty in switching processing facilities to crush different types of oilseeds, although there are some additional requirements for crushers to be able to crush cottonseed.
37. However, the ACCC notes that a major impediment to switching crushing facilities to alternative oilseeds may be the ability of processors to economically

access certain seeds due to the geographic location of the crushing facility. This would reduce the extent to which differently located suppliers of crude oil could compete with each other across the full range of products. The ACCC is interested in obtaining further information about the ability of processors to switch production facilities to enable the production of different varieties of crude oil, including the ability of processors to economically access the necessary oil seeds.

38. The ACCC's preliminary view is that the market for the supply of crude vegetable oils is national in scope. Inquiries to date have indicated that crude vegetable oils are distributed on a national basis. However, the ACCC notes that there could be some limitations on the ability of processors situated on the west coast to supply customers on the east coast, and similar limits on the ability of east coast suppliers to supply west coast customers.

Comments sought from interested parties on market definition

The ACCC is seeking comments from interested parties on the appropriateness of the market definitions outlined above. In particular, the ACCC's inquiries will focus on the following matters:

- a. Whether the geographic scope of the markets should be defined on a narrower basis and why.
- b. Obtaining further certainty as to the costs to an existing refiner of edible fats and oils commencing production of votated products (either packaged or bulk) and whether there are any other relevant considerations when determining the incentives to commence supply of votated products.
- c. Confirming geographic factors that influence the ability of processors to supply certain varieties of crude vegetable oils.
- d. Confirming whether there are particular varieties of oil seeds that require additional investment in plant and equipment to process.

Statement of issues

39. For the purposes of a Statement of Issues, the ACCC may identify three categories of issues: 'issues of concern', 'issues that may raise concerns requiring further analysis' and 'issues unlikely to raise competition concerns'. In this Statement of Issues, the issues have been categorised as 'issues that may raise concerns requiring further analysis' or 'issues unlikely to raise concerns'.

Issues that may raise concerns requiring further analysis

40. The ACCC's preliminary view is that the proposed acquisition may raise competition concerns in the markets for the supply of refined bulk oils and votated bulk products. The ACCC will consider these markets together in this Statement of Issues, given that they have similar characteristics and raise similar

competition issues. Where different issues arise, this will be outlined where relevant below.

41. Based on the ACCC's inquiries to date, the ACCC has formed a preliminary view that the proposed acquisition could enable the merged firm to unilaterally exercise market power in these markets. In particular, the ACCC is investigating whether the merged firm could significantly and sustainably increase prices, reduce quality, service and/or innovation in these areas.
42. The ACCC also considers that the proposed acquisition may increase the likelihood of coordinated conduct between refiners of edible fats and oils.
43. The ACCC considers that a number of the issues outlined below are important to the consideration of both unilateral and coordinated effects arising from the proposed acquisition.
44. The following section outlines the ACCC's concerns and provides details of further information that is being sought from interested parties.

Reduced competition for the supply of refined bulk oils and bulk votated products

Market concentration

45. As stated above, Goodman Fielder is the largest supplier of refined edible oils and fats in Australia, while Cargill is the third largest supplier. Peerless, the second largest refiner of edible fats and oils, has a refining facility located in Melbourne and supplies a wide range of refined edible fats and oils (including multiple oil varieties, margarines and shortenings).
46. The proposed acquisition will result in a significant increase in the level of concentration at the refining level of the industry. The merged firm will account for over half of total refining capacity and output.
47. The ACCC is still seeking further information to verify the market shares of each of the parties and their competitors in relation to each of the relevant markets. The ACCC estimates that the merged firm will have at least half of the market share in each of the markets of concern.

Availability of substitutes

48. Market inquiries to date indicate that there are a number of other competitors at the refining level, however they do not supply a full range of refined bulk oils or votated bulk products, nor do they have the ability or incentive to supply the same range of customers as the merged firm. It is also noted that a number of these other competitors have limited production capacity, in particular when compared to the merger parties. In relation to the market for the supply of bulk votated products, the number of available substitutes is fewer than that for bulk refined oils.
49. As such, while alternative suppliers compete to supply a smaller range of products to certain customers, they do not compete as closely with the merger

parties or Peerless. The ability of some alternative suppliers to compete is also limited by their capacity.

Barriers to entry and expansion

50. The ACCC is considering whether the merged firm could be constrained from exercising market power in the markets for refined bulk oils and bulk votated products by actual or threatened entry or expansion. Specifically, the ACCC is concerned that entry and expansion must be sufficient to replace the competitive constraint lost as a result of the proposed acquisition. The ACCC is seeking further information on the ability and incentive of industry participants to supply a range of products so as to compete directly with the merged firm in these markets.
51. The ACCC considers that entry and expansion in relation to the supply of refined bulk oils may occur by:
 - a. a completely new entrant establishing a refining facility and commencing production and supply of refined product (including a processor vertically integrating);
 - b. entry by a party that does not currently operate edible fats and oils refining facilities, but that has access to refining plant and equipment. For example, a refiner of non-edible fats and oils products (such as a biodiesel refiner) or a processor that has some refining equipment used to produce industrial oil products; or
 - c. an existing participant expanding its refining operations (for example, by increasing the range of products beyond canola oils so as to compete directly with the merged firm or increasing its capacity).
52. Entry into the market for bulk votated products would occur in a similar way, although an entrant would also need to invest in the equipment and incur other associated costs necessary to commence production of votated products.
53. The ACCC notes that the edible fats and oils industry has exhibited a number of structural changes within the past five years, including:
 - a. the entry of Cargill into the refining stage of production in 2007
 - b. the closure by Goodman Fielder of refining assets located in Sydney
 - c. the expansion by Manildra / Mac Smith of its refining facilities
 - d. the commissioning of a new crushing and refining facility in Wagga Wagga by Riverina Oils and Bio Energy (which is likely to commence production by the end of 2010).
54. Accordingly, information received to date shows some evidence that entry and/or expansion has occurred or been commissioned, and there may be some potential for entry from refiners of non-edible fats and oils. However, market inquiries

have revealed that entry and expansion in refining may not be timely, likely or sufficient in scope so as to act as a constraint on the merged firm. In particular, concerns have been raised that:

- a. Refiners may face difficulties gaining economic access to certain inputs, such as particular types of crude oil.
 - b. In order to effectively compete there is a need to obtain significant scale to take advantage of volume efficiencies in the manufacturing process, which may limit the viability of entry or expansion.
 - c. There is presently excess capacity at the refining level, that may be deployed against new entrants or existing market participants seeking to expand, further increasing the risk that sufficient scale will not be achieved to justify entry.
 - d. There exists substantial sunk costs for completely new entrants, which increases the risks of and costs associated with failed entry.
 - e. There is a risk of retaliatory action by incumbents against new entry or expansion (for example, the ability to engage in price wars or temporarily price below cost).
 - f. Customers may take some time and convincing before switching to new entrants, for example, many customers require significant lead times before changing refined oil suppliers due to the need to conduct tests on the fats and oil products as well as their finished products manufactured with the new manufacturer's product.
55. Despite the existence of some degree of entry and expansion, the ACCC continues to be concerned that the threat of entry and expansion may not be sufficient to constrain the merged entity from exercising market power post acquisition. The ACCC notes that new entry or expansion would need to constrain the merged firm across a broad range of fats and oils products to sufficiently replace the competitive tension lost from the proposed acquisition.

Countervailing power

56. Market inquiries have raised concerns that a number of the issues identified above in relation to barriers to entry and expansion may limit the ability of customers to effectively sponsor new entry or expansion, or manufacture their requirements in-house. In addition, market inquiries have not identified any other forms of countervailing power likely to provide a significant competitive constraint on the ability of the merged firm to exercise market power post merger.

Imports

57. Market inquiries to date have also indicated that, while imports of packaged refined edible fats and oils exist, the threat of imports of bulk refined oils is unlikely to significantly constrain the ability of the merged firm to exercise market power post acquisition. Market participants raised concerns about:

- a. The impact of freight costs and the inability to access imports at competitive prices generally
 - b. Product degradation during transport
 - c. Long lead times
 - d. The cost of installing additional storage to manage inventory risk
 - e. Increased difficulty and cost of obtaining non-GM canola
 - f. Quality assurance issues
 - g. Increased supply chain risk, in particular in controlling quality from overseas manufacturers and ensuring certainty of supply.
58. Market inquiries indicated that imports of votated products are more problematic than other edible oils. This is primarily due to additional stability issues which affect the quality of votated products that are transported long distances.
59. The ACCC has formed a preliminary view that imports of bulk refined oils and bulk votated products are unlikely to act as a constraint against the merged firm exercising market power in the relevant markets post merger.
60. The ACCC notes that it conducted a review of the acquisition of Unilever Australia's non-retail margarine and edible oils business by Peerless Holdings Ltd in 2005. In that matter, the ACCC decided not to oppose the proposed acquisition as it was unlikely to substantially lessen competition partly due to the constraining effect of significant import competition. While the ACCC has had regard to this previous decision in considering the issue of import competition in the present proposed acquisition, each acquisition that the ACCC reviews needs to have regard to information pertaining to the particular market dynamics at the time of that review. When considering the current proposed acquisition, a preliminary view that imports are unlikely to act as a sufficient constraint is based on information provided by industry participants at this time.

Comments sought from interested parties in relation to refined bulk oils and bulk votated products.

In considering the effect of the proposed acquisition on markets for the supply of refined bulk oils and bulk votated products, the ACCC will focus its further inquiries on whether there is sufficient ability and incentive for new entrants or existing competitors to replace any competitive constraint lost as a result of the proposed acquisition. The ACCC is particularly interested in information to enable it to form a conclusion on whether current or future competitors are able to economically access inputs necessary to supply a wide range of refined bulk oils and votated bulk products, similar to that currently supplied by the merger parties.

In this regard, the ACCC is seeking specific information on the following matters:

- a. Matters that would affect a decision to enter or expand an existing presence in the market for the supply of refined bulk oils and/or the market for the supply of votated bulk products, including:
 - i. Details of minimum efficient scale, including any feasibility studies, financial analysis or records, or other information or data surrounding the efficiency or viability of entry.
 - ii. The relevance of the existence of overcapacity.
 - iii. The ease with which non-edible oil refiners could establish themselves as new entrants into the supply of refined bulk oils or votated products, including what factors would result in an incentive for them to do so (for example, whether there are any government policies in relation to biodiesel that may reduce an incentive to produce edible fats and oils).
 - iv. Details of sunk costs (in particular, those which may reduce the ability and incentive of a participant to enter the refining industry).
 - v. The ability of a new entrant, or existing market participant seeking to expand their operations, to gain economic access to required inputs, e.g. crude oil, including any feasibility studies, financial analysis or records, or other information or data surrounding access to inputs.

Additional factors relevant to the consideration of coordinated effects

61. The ACCC is concerned that the proposed acquisition may increase the risk of coordinated conduct in the market for the supply of refined bulk oils and the market for the supply of votated bulk products. In particular, market inquiries to date indicate that certain market conditions exist that are likely to be conducive to coordinated conduct post-acquisition including the following:
 - a. the increased concentration in each of these markets will reduce the number of firms and may increase interdependence between them.

- b. firms may have an increased ability and incentive to settle on terms that are profitable for all (such as tacit agreements to supply refined products only to certain geographical locations or certain types of customers).
 - c. other firms could threaten to retaliate against firms that engage in competitive conduct, for example by deploying excess capacity.
 - d. other constraints such as the likelihood of entry and imports as discussed above may not sufficiently prevent the coordination.
62. Market inquiries have indicated that when Cargill entered these markets, it placed a degree of competitive constraint on other suppliers that had not previously been present. This is evidenced by the competitive response to Cargill's entry. The ACCC is continuing to investigate these issues, including the ability of new entrants into relevant refining markets to disrupt any coordinated conduct.

Comments sought from interested parties on coordinated effects

The ACCC is seeking information from interested parties in relation to the issues outlined above. In particular, in addition to further information regarding the potential for new entry and expansion (as outlined in the previous section), the ACCC would appreciate information on the following matters to assist it in determining whether coordinated conduct is likely to arise:

- a. How refiners could signal to each other that they will not compete (for example on price, output or customer allocation).
- b. The ability of refiners to be aware of the behaviour of other refiners, for example how easily they can observe competitor pricing or terms of trade.

Cargill's increased vertical integration may affect competition in the market for the supply of bulk refined oil and bulk vated products and / or the market for the supply of crude vegetable oils

63. The proposed acquisition will combine the largest oilseed processor, Cargill, with the largest edible fats and oils refiner, Goodman Fielder. Although Cargill already operates refining facilities, the proposed acquisition will significantly increase its refining capacity and more closely align its capacity at the crushing and refining levels. The ACCC considers that post acquisition, Cargill is likely to have an incentive to internalise the supply of crude vegetable oils from its crushing facilities to the existing Goodman Fielder refineries to maximise volumes through its crush plants and minimise costs. Accordingly, the ACCC is investigating whether the proposed acquisition may result in a substantial lessening of competition in the relevant market for the supply of refined bulk oils, the market for the supply of bulk vated products and/or the market for the supply of crude vegetable oils from either:

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- a. the potential loss of Goodman Fielder as a customer of competing processors upstream;
 - b. the potential loss of Cargill as a supplier of crude vegetable oils to competing refineries downstream;
 - c. restricted access to certain crude oils for refiners.
64. The ACCC notes that these theories of harm may, on their face, appear to be competing with one another. The ACCC is still examining the extent to which any of these outcomes are likely to occur, and if so, how remaining processors and refiners may react in order to determine whether significant competitive harm is likely to result. However, these are the concerns that have been raised during the ACCC's review of the proposed acquisition and the ACCC considers that these matters warrant testing with industry participants prior to it forming a view.

Loss of Goodman Fielder as a customer to other processors

65. At present, Goodman Fielder is the largest refiner of edible fats and oils in Australia and, as it is not a vertically integrated firm with processing facilities, it must source 100% of its crude vegetable oils from other market participants or imports.
66. The ACCC's market inquiries have raised concerns that the proposed acquisition will remove Goodman Fielder as a customer or potential customer of crude vegetable oil products to competing processors. The loss of a major customer of crude oil products may impact on the viability or efficiency of such processors, which may affect the ability of those processors to competitively supply alternative refining customers with crude vegetable oils.
67. The ACCC notes that market inquiries to date suggest there is currently a significant level of exports of some crude vegetable oils, in particular, canola. The ability to export crude oils may limit the effect of the removal of Goodman Fielder as a major customer of domestic crushers. However, market inquiries have raised concerns that exports may not provide an ongoing viable alternative to domestic supply of crude vegetable oils.
68. In addition, the ACCC considers that further information surrounding a number of issues outlined in the analysis of the horizontal competition issues above, such as the extent of barriers to entry and expansion into relevant markets, may impact on the analysis of this issue.
69. The ACCC is seeking further information regarding this issue prior to forming a concluded view.

Loss of Cargill as a supplier of crude vegetable oils to refiners

70. Presently, Cargill competes with other processors to supply crude vegetable oils to a number of other refiners. Post acquisition, the increase in Cargill's capacity at the refining level resulting from the acquisition of Goodman Fielder's refining operations may reduce its incentive to supply crude vegetable oils to refiners

other than itself. That is, it will be able to self supply its refining operations from its current processing operations.

71. As noted above, Cargill is at present the only oil seed processor that processes a full range of oil seeds (i.e. canola and non-canola seeds). Market inquiries have indicated that the supply of crude non-canola oil may be affected by the proposed acquisition given that:
 - a. Cargill will have a reduced incentive to supply crude vegetable oils to refiners other than itself because:
 - i. it will be able to utilise all or most of its non-canola crude oil volumes as a result of its increased capacity at the refining level; and
 - ii. its increased capacity at the refining level may reduce its incentive to supply refiners which compete in downstream markets.
 - b. These other refiners may face difficulties obtaining economic access to imports of crude non-canola based oils due to volume requirements needed to access imports at a competitive price.
 - c. Access to domestic supply of the inputs necessary to produce non-canola products is limited, as a result of shortfalls in domestic supply, the location of some oil seed types in relation to competing crushers and, in some circumstances, proprietary rights.
72. Further, market inquiries have raised concerns that the removal of Cargill as a competitor in the supply of crude canola oil may result in an increase in the price of crude canola oil. This is because Cargill is likely to self supply its refining operations with crude canola oil from its current processing operations, enabling it to achieve sufficient volumes to ensure efficiency of its crush facilities without the need to supply competing refineries. In addition, as the remaining volume of capacity to crush canola at Cargill's crush facilities will be limited, Cargill may be able to effectively sell these relatively small volumes via export, rather than provide competitive supply to its downstream competitors.
73. Market inquiries have indicated that Cargill is currently a vigorous and effective competitor in relation to the supply of crude canola oil. The proposed acquisition may result in the removal of the competitive constraint that Cargill currently places on other competitors at the processing level, which could lead to an increase in the price of crude oil products.
74. However, the ACCC notes that even if Cargill is removed as an upstream competitor for the supply of crude canola oil, it is not clear whether this will result in a substantial lessening of competition in any relevant market.
75. In particular, the ACCC notes that the proposed acquisition will remove one supplier and one customer of non-integrated sales of crude canola oil. It is not immediately clear what impact this will have on competition in the relevant

markets. On one hand, a reduction in the number of suppliers of crude oil may impact the ability of downstream customers to negotiate on price. On the other, the removal of a downstream customer may increase the reliance of upstream crushers on alternative downstream refiners, depressing the price of crude oil. While the proposed merger may alter the bargaining dynamics in the relevant markets, it is unclear how this change in bargaining position will impact competition in the relevant markets.

76. In addition, it is possible that competition in the downstream refining market may have the effect of constraining suppliers of crude canola oil. This is because both crushers and refiners attempt to maximise volume throughput to ensure efficiency of their operations, for which there are high fixed costs and relatively low margins on output. Remaining crushers may have an incentive to supply crude oil at competitive prices to enable refineries to effectively compete in downstream markets, thus increasing (or maintaining) their required volumes of crude oil with a mutually beneficial outcome for both the crusher and refiner.
77. The ACCC is seeking further information regarding this issue prior to forming a concluded view.

Restricted access to certain crude vegetable oils for refiners

78. The ACCC is concerned that Cargill may have an increased incentive to foreclose on its rivals in the refining industry by restricting access to inputs that are necessary for the production of non-canola based bulk oils, in particular, certain non-canola based crude oils.
79. In addition, other refiners may be, in some circumstances, reliant on Goodman Fielder or Cargill to gain access to certain crude or partially refined oils due to the merger parties ability to economically import these products in large volumes. However, post-acquisition the merged firm's incentive to maintain these arrangements may be reduced as the benefits to the larger, vertically integrated merged firm may be reduced. In addition, post-acquisition Cargill's incentive to supply these products to competing refineries domestically may be reduced.

Comments sought from interested parties in relation to vertical foreclosure issues

In considering the effect of the proposed acquisition, the ACCC is interested in any information interested parties can provide to assist in forming a conclusion as to the likely competitive effects of the increased degree of vertical integration between Cargill's processing and refining operations post acquisition. The ACCC specifically seeks comment on:

- a. The ability of and incentive for existing oil seed processors to commence crushing non-canola based products (such as soybean and sunflower), including:
 - i. the ability of processors to access non-canola based oil seeds and economically supply the crude oils to refiners. The ACCC seeks any feasibility studies, financial analysis or records, or other data or information concerning this issue.
 - ii. Whether the proposed acquisition would result in an increased incentive for existing oil seed processors to commence crushing non-canola based products, and why or why not?
 - iii. details of the costs and steps involved in expanding processing facilities in order to process non-canola based products.
- b. The ability and incentive of oil seed processors to export crude vegetable oils products (both canola and non-canola based), including details of the price at which oil is exported and any difficulties in establishing these supply channels.
- c. The approximate export and import parity prices of crude canola and non-canola oils, or the difference between these prices, and the extent to which prices have changed over the past five years.
- d. The ability of refiners to access non-canola based crude vegetable oils, such as crude palm and sunflower.
- e. The effect of the removal of Cargill as a supplier of crude vegetable oils to other refiners, including what constraints exist to prevent other suppliers of crude vegetable oils from increasing their prices post-acquisition.

Issues unlikely to raise concerns

Competition for the supply of refined packaged oils

80. The ACCC's preliminary view is that the proposed acquisition is unlikely to raise competition concerns in the market for the supply of refined packaged oils. The ACCC's inquiries have indicated that packaged oils are easily transported and there are significant imports of packaged oils sold in Australia. In its preliminary view, the ACCC considers that imports are likely to continue to provide a

significant competitive constraint to suppliers of refined packaged oils post acquisition.

Competition for the supply of votated packaged products

81. The ACCC's preliminary view is that the proposed acquisition is unlikely to raise competition concerns in the market for the supply of votated packaged products.
82. It is important to note that, unlike refined packaged oils, the ACCC's inquiries indicated that votated packaged products are not as easily transportable and may be subject to degradation during longer freight trips. In particular, the ACCC's inquiries indicated that there are not significant imports of votated packaged products and that imports of these products are unlikely to provide a sufficient competitive constraint on the market post acquisition.
83. Goodman Fielder is a significant supplier of votated packaged products. However, the ACCC's inquiries revealed that Cargill does not currently supply votated packaged products, despite operating the appropriate manufacturing equipment and facilities to package oil products. Given Cargill's existing votation and packaging operations, the ACCC considers that the barriers for Cargill to commence supply of packaged votated products is significantly lower than for an entirely new entrant and as such, Cargill may provide some degree of competitive constraint or, may in the future provide a competitive constraint in this market.
84. However, based on the response to market inquiries, the ACCC does not consider that the degree of constraint provided by Cargill in this market is significant. As such, the ACCC's preliminary view is that any lessening of competition resulting from the proposed acquisition in the market for votated packaged products is unlikely to be substantial.

Competition for the supply of refined tallow

85. The ACCC's inquiries raised some concerns about the supply of refined tallow post-acquisition. Goodman Fielder currently supplies refined tallow. However, the ACCC's inquiries have indicated that while Cargill supplies some inputs to manufacturers of refined tallow, it does not currently supply refined tallow in Australia, and without the acquisition is unlikely to do so. Consequently, the ACCC's preliminary view is that the proposed acquisition is unlikely to result in a substantial lessening of competition in the refined tallow market.

Comments sought from interested parties on issues unlikely to raise concerns

The ACCC invites further submissions from interested parties concerning the ACCC's preliminary view of these issues.

ACCC's future steps

86. The ACCC will finalise its view on this matter after it considers market responses invited by this Statement of Issues.

87. The ACCC now seeks submissions from market participants on each of the issues identified in this Statement of Issues and on any other issue that may be relevant to the ACCC's assessment of this matter.
88. Submissions are to be received by the ACCC no later than 4 March 2010. The ACCC will consider the submissions received from the market and the merger parties in light of the issues identified above and will, in conjunction with information and submissions already provided by the parties, come to a final view in light of the issues raised above.
89. The ACCC intends to publicly announce its final view by 18 March 2010. However the anticipated timeline may change in line with the *Merger Review Process Guidelines*. A Public Competition Assessment for the purpose of explaining the ACCC's final view may be published following the ACCC's public announcement.